

CADIZ INC August 14, 2017 - 10:43am EST
by

xds68

			2017	2018
Price:	12.15	EPS	0	0
Shares Out. (in M):	23	P/E	0	0
Market Cap (in \$M):	270	P/FCF	0	0
Net Debt (in \$M):	110	EBIT	0	0
TEV (in \$M):	380	TEV/EBIT	0	0
Borrow Cost:	Available 0-15% cost			

Description

Short Cadiz

(CDZI \$12.15)

8/14/2017

Cadiz has been identified many times as a short by various idea sites and short newsletters, including two short pieces on VIC in 2012 and 2014. Three years later the stock trades at a higher price despite annual dilution and cash burn. The reason is Trump's victory, which dramatically improved the company's prospects for its water transport project. That said, there are still hurdles to the project's approval, combined with a relatively full valuation even if the project goes ahead. As such the stock still looks like a good short at its current \$12.10 bid. In addition, there are relatively inexpensive puts available.

Background

Cadiz proposes to provide several California municipalities with up to 50,000 acre-feet of water annually, piped from Cadiz owned land in the Mojave desert. Roughly a fifth of the water would go to the Santa Margarita Water District. That district's agency reviewed and approved the project's environmental status, despite being more than 200 miles from San Bernardino county, where the water resides. San Bernardino could have asserted its position as the municipality best positioned to assess environmental impacts, but then county supervisor Brad Mitzelfelt chose to forego that action. Mitzelfelt soon after received a substantial contribution from Cadiz in his unsuccessful California congressional campaign.

At its heart, the Cadiz project pits California municipalities against the state government. The local municipalities represent small affluent communities and like the idea of secondary water supplies. The state of California, led by California Senator Dianne Feinstein and various state legislators, is concerned with the longer term environmental impact of siphoning large amounts of water from the Mojave desert. The proposed 50,000 annual acre feet of water represents less than 0.1% of California's annual water supply, making it very much a 'special interests' issue. Given how small the Cadiz project is in the relative scheme of California's water management, it is remarkable how much time, energy, and state and federal legislative attention it has garnered.

I have linked at the bottom of this note to a succinct history of the project as well as some recent commentary. For the purposes of this thesis it's helpful to understand a few key points:

-) To move water from Cadiz' reservoir to CA municipalities requires the water to travel over Federal lands, which would require a Federal environmental review. An unbiased environmental review would take more time, and based on widely circulated environmental research might well conclude that Cadiz' planned water extraction would dry out critical desert aquifers. To bypass this review, in 2008 Cadiz entered a lease agreement with the Arizona & California Railroad company. The company's goal was to exempt its project from Federal review based on right of way exemptions issued to railroads. However legislation related to railroad ROW specifies that qualifying projects serve a railroad purpose, which does not include selling water to third parties. Cadiz argued its water could be used to extinguish railroad fires. The California branch of BLM ruled against this argument.
-) Cadiz appealed that ruling, but appeared headed for failure prior to the 2016 election. The Trump administration breathed new life into the project, issuing a directive the BLM that widened the meaning of a 'railroad use'. The administration also indicated that on appeal the project would be reviewed by the BLM's Washington office. Further, David Bernhardt was confirmed in July as deputy secretary of the Interior. Bernhardt was previously co-chair with Cadiz' CEO Scott Slater at the law firm Brownstein Hyatt Farber Schreck.
-) Those developments greatly increased the probability the company would receive an exemption from federal review. In response, state assemblywoman Laura Friedman, D-Glendale, moved a bill out of committee that would require state environmental review of projects that involved large water pumping in the desert. The bill was specifically designed to require a state review of the Cadiz project, a point confirmed by Friedman herself.
-) It is not easy to pass legislation in California, however both houses of the state legislature are heavily democratic, and for many legislators it's not clear that there is much reason to oppose the legislation. Friedman passed the bill as a member of the water committee by changing the language of a pre-existing water conservation bill to specifically target Cadiz. Having passed Friedman's NRW committee the bill has been referred to the senate appropriations committee for a vote on August 21st. If it passes the appropriations committee it would then be scheduled for a vote before the full Senate. If approved by the Senate it would move back to the assembly for a full vote. If passed there it would go to the governor for signing. Progress of the bill can be monitored here: https://leginfo.ca.gov/faces/billStatusClient.xhtml?bill_id=201720180AB1000
-) Based on the makeup of the senate appropriations committee, the bill has a reasonable chance of approval. The committee has five democrats and two republicans. Committee chair Ricardo Lara and Senator Scott Wiener both have pro-environment, pro conservation platforms, and are likely 'yes' votes. The two committee republicans, Patricia Bates and Jim Nielsen, are likely 'no' votes given precincts (Bates represents some receivers of Cadiz water) and past voting. To move the legislation forward, two of the remaining three democrats would need to vote in favor. Jerry Hill represents Silicon Valley and strikes me

as a likely 'yes' based on his constituency while Jim Beall representing San Jose also has a liberal record, although it's focused on housing. The final democrat, Steven Bradford, is a less reliable vote given he received past support from supporters of the project. So Jim Beall may end up being the swing vote here.

-) It is worth noting that much of the mainstream press coverage of the project has been negative – for example this LA times op-ed <http://www.latimes.com/opinion/op-ed/la-oe-brooks-cadiz-project-water-mojave-desert-20170521-story.html>.
-) Even if this particular legislative challenge fails, Cadiz is not out of the woods. The company still needs a favorable BLM ruling, and various parties in California could look for other ways to delay or stop the project.
-) A further possible obstacle is water quality. Cadiz' project would require it to pipe its water into facilities managed by California's Metropolitan Water District (MWD), which would represent the last mile distribution to the receiving municipalities. Cadiz' water has higher than permitted levels of the carcinogen hexavalent chromium (chromium 6), and will have to reach agreement with the MWD regarding treatment of the water to reach satisfactory purity.

Taken as a whole, the project's odds of success have improved but are far from certain. If one thinks the state legislative challenge has a 20% chance of success, and that failing that there is another 5% chance the state finds some further way of impeding the project's progress, and that failing that there is at least a 5% chance the BLM denies the company's appeal, and failing that the company still needs to reach consensus with the MWD on water treatment, I'd argue the project still has less than a 70% chance of approval. I believe the current share price reflects a much higher probability of success.

Prior to the 2016 election, CDZI's shares were priced at \$7, roughly 40% below today's price, and many close followers of the company viewed that as generous. The company has not shown the ability to generate profits as a going concern, and currently has \$130 million of debt, in addition to a \$275 million market cap for a current EV of \$400 million. I think sub \$7 is realistic price target on a significant new setback. If investors become convinced the project is completely untenable, I think the stock is a zero, given the current debt load.

The next question is what would CDZI be worth in the event the project proceeds – I think not much more than it trades for today. Assuming the high end of the company's estimates for volume and price of 50,000 acre feet sold for \$1,000 per year, implies \$50 million of annual revenue. The company currently has roughly \$10 million of annual G&A, and incremental costs associated with pumping water have not been identified, but I think conservatively would have to run north of \$5 million a year. In that scenario, the company could plausibly generate \$35 million in annual EBITDA.

To get to that point the company would have to finance the construction of pumping and more significantly, water treatment, and has obtained \$240 million of contingent construction financing from Apollo for the project. While I suspect the company would supplement that funding with equity, conservatively assuming that funding represents the total project cost it lifts the pro-forma EV to \$700 million, or 20x projected EBITDA. That would be on the very high end of infrastructure multiples for a project that would remain controversial, and for volumes that could decline over time if the company does indeed deplete its aquifers more quickly than it estimates. The main upside would be if the company charges much higher than advertised delivery prices for its water. However this will be a tough proposition, given falling prices for recycled water (see first linked article above).

Given those numbers and with the stock currently trading above \$12, I think a straight short is attractive. The risk reward on the puts also looks interesting, although getting the timing right is important. There is a clear event on August 21 (senate vote) which could be a catalyst. Various puts may make sense, for example the September 10 puts trade for \$0.10 - \$0.15, which could provide an outside payoff if the legislative process appears to be working against the company.

For a good synopsis of the Cadiz story: <http://sbcsentinel.com/2017/07/assembly-bill-would-stop-cadiz-inc-s-mojave-h2o-to-orange-county-plan/>

Actual Friedman bill: https://leginfo.legislature.ca.gov/faces/billNavClient.xhtml?bill_id=201720180AB1000

Friedman bill in press: <http://www.sbsun.com/environment-and-nature/20170706/bill-would-curb-massive-cadiz-desert-water-project>

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Catalyst

Progression of Friedman bill, negative BLM ruling on appeal, impasse with MWD, declining recycled water prices, setbacks on project construction.

Messages

Subject Aug 21
Entry 08/15/2017 09:48 AM
Member xds68

One clarification on note, bill committee hearing is August 21st, and I am assuming a vote on same day following hearing - I'll update outcome -

Subject disagree on this one
Entry 08/17/2017 04:37 PM
Member specialk992

I have certainly been short some of these perennial "free beer tomorrow" companies but I don't agree on this one. I generally agree that it is somewhat more likely than not that this project proceeds but that it is possible the State of California and/or Feinstein finds a way to block it. But at a high level, I think you left out a couple of important things, like the fact this project has already passed a California Environmental Quality Act (CEQA) review including appeals, and that if Phase I of the project proceeds they will pretty quickly start on a Phase II that could send the stock much higher. Also, I think the Chrom 6 thing is non issue.

Proponents of AB1000 are trying to position to the bill as a way for the state of CA to review the CDZI project if the company is able to avoid federal review (NEPA). This is almost comical as the project has already undergone a stringent CA review through the California Environmental Quality Act (CEQA) process, which included challenges in district and appellate court. CDZI won on all issues at both levels with no amendments to the plan required. The CEQA review process is considered by most people to be much more stringent then the federal review process (which would focus primarily on the impact of the pipeline itself rather than recharge rates), which makes it unlikely that there would be a different outcome. This is not a Trump project, nor a case of the company avoiding environmental review if they avoid federal review. The BLM actually approved a water conveyance line to be built from Cadiz to the MWD aqueduct directly over federal land (not in the RRRoW) in 2002. The BLM has only been used more recently as the primary tool of Senator Feinstein to block the project after it was approved by the state of CA using updated information vs the 15 year old information Feinstein and opponents continue to reference. The only thing that has changed is her ability to utilize the BLM as a roadblock with the changing of the administration. Back to AB1000, it would be an aggressive/dangerous precedent for legislators to begin to single out individual projects for additional review beyond the CEQA process that has been in place for nearly 50 years. The legality of making laws specifically designed to hurt individuals or companies is questionable as well and Friedman is on the record saying this law is specifically to stop the CDZI project. If this law passes it will be challenged, and the project already passed CEQA, so even if it passes it may represent a delay rather than a halt of the project.

I believe the true potential downside of the short is significantly higher than "around where it's trading". Phase 2, or the storage portion of the project, is likely worth at least double Phase 1, which is the only portion you use to value the company. Phase 2 is also much less controversial and would likely proceed if the pipeline is constructed. This could potentially put total value around \$40 per share or more.

Lastly there is updated information of the Chrom 6 issue. The state has recently went back to 50 ppb from 10 ppb, which is well above the 11-13 ppb in the Cadiz water.

See a summary of CEQA here:

https://en.wikipedia.org/wiki/California_Environmental_Quality_Act

Recent Chrom 6 ruling:

<https://www.wateronline.com/doc/california-drops-tough-chromium-standard-0001>

Subject Re: disagree on this one
Entry 08/18/2017 04:03 PM
Member xds68

Thanks - on phase 2, a million acre feet at \$1500/acre foot reservation cost certainly sounds impressive - has the company provided any real detail on timing, cost, etc? I looked for it on their website and 10-K and didn't see anything substantive. I believe the original CEQA contemplated phase 2 beginning in 50 years after phase 1 - did that change at some point?

if there's a viable case on phase 2, I don't know that it really changes the case on the puts, given the whole thing is predicated on phase 1 moving forward. That said, the put pricing was better with the stock around 12.20 than it is a week later with the stock 8% lower, particularly as the hearing is monday.

Subject Re: disagree on this one
Entry 08/22/2017 10:34 AM
Member yellowhouse

how do you think cadiz will get MWD to agree to let their water on the MWD aqueduct? it's my understanding they have a lot of discretion for determining what goes on the aqueduct. have you ever spoken to MWD board members? they are very hostile toward cadiz. assemblywoman friedman is a former MWD board member.

why wont ab1000 pass? i think that every CA democratic senator would disagree with your view that this is not a trump project.

would you finance this project if you were a lender? i would not. if the recharge is less than anticipated then the pipes get shut off. if there isnt capacity on the MWD aqueduct then the customers wont pay for water they dont get.

what is the value proposition to utilities for storing water in phase 2?

Subject	Re: Re: disagree on this one
Entry	08/22/2017 05:19 PM
Member	xds68

Hearing was postponed to the 28th given a full agenda yesterday. The hearings are webcast on ca tv. Having now watched a day of these this appears likely to be put into a 'suspense' file like most bills before the appropriations committee. That leaves it pending vote until committee votes on all suspense file bills. There is no set date for that - its typically around the budget date, which is May - would they wait that long given its now late august? Not sure, goes beyond my understanding of ca political process - yellowhouse do you know on this?

Subject	Re: Re: Re: disagree on this one
Entry	08/23/2017 06:33 AM
Member	yellowhouse

Sorry. I haven't been able to learn anything of value on ab1000. Very tough to get people to talk.

Subject	Re: Re: Re: Re: disagree on this one
Entry	08/28/2017 03:17 PM
Member	xds68

So not surprisingly, the project was sent to the 'suspense' file, which is kind of a catch all for bills before the CA appropriations committee that they don't want to put to an immediate vote. Link to hearing http://calchannel.granicus.com/MediaPlayer.php?view_id=7&clip_id=4932 (not sure how long that link/video remains current)

I don't think there is a date set for all the suspense files to be reviewed - in general it is around May budget time. If that's the case, I'd say it's not a great development for CDZI, as it just creates another 8 months of uncertainty while they burn through another \$8 million of cash and accrue more PIK debt (matures Dec 2019). Maybe there will be an earlier hearing - I will keep an eye out.

Regarding SpecialK's comment on the Federal review being less stringent than the CEQA, if that's the case, why go to such lengths to avoid that review?

Regarding phase 2, I think Yellowhouse asks an important question - 'who is the customer for water storage and what would they pay'? \$1,500/acre foot strikes me as very very optimistic, given falling costs of recycled and desalinated water. CDZI occasionally describes the collection as being put in place for 'wet' years - so would water collection only occur in years where there was no phase 1 delivery, so the revenue streams are offsetting and the same pipeline would be used? Or would they build a second pipeline? Maybe the company really has a detailed plan in place for phase 2, but if so they are keeping it close to the vest.

Subject	Re: Re: Re: Re: Re: disagree on this one
Entry	09/01/2017 01:15 PM
Member	xds68

So CDZI shares are down 17% today and I have no idea why - my first guess would be a reasonably well circulated short report that hasn't gotten picked up by seeking alpha or some other source. Or maybe there's a leak that they're issuing more equity - I think they have to do this soon, so it would make sense.

In any case, my experience with this name is that it's best to trade around the position, both straight short and with options. The puts I mentioned are now up in a range of 100% to 400%, so I would say take some gains on those. I still think the company is a likely zero over a few years, but would wait for a bounce to reestablish puts or short.

Subject	good timing
Entry	09/01/2017 01:22 PM
Member	theboss

looks like Jerry Brown just put out super aggressive letter in support of AB1000

Subject Re: good timing
Entry 09/01/2017 01:26 PM
Member xds68

Ah, thanks -

<http://www.desertsun.com/story/news/environment/2017/09/01/jerry-brown-backs-bill-requiring-review-companys-plan-pump-billions-gallonmojave-desert-water-projec/623932001/>

Subject Re: Re: good timing
Entry 09/01/2017 05:32 PM
Member xds68

news articles indicate the appropriations committee will vote on AB 1000 in coming days - both governor Brown and LT gov have sent letters in support. As I described in note, high likelihood this gets approved by appropriations committee - then would have to watch timing of floor vote. If it passes both chambers Brown will clearly sign which would likely send stock to or below 52 wk low. It may be tough for most CA dems to vote against bill in this climate (pun intended).

Subject Re: Re: Re: good timing
Entry 09/02/2017 12:09 PM

Member xds68

Appropriations committee reviewed bill Friday and did not move out of the suspense file, rather held under submission - here's the CA senate definition of that status:

HELD UNDER SUBMISSION—An action taken by a committee when a bill is heard in committee and there is an indication that the author and the committee members want to work on or discuss the bill further, but there is no motion for the bill to progress out of committee. This does not preclude the bill from being set for another hearing.

Whether this really means the bill is finished and will go into suspense file purgatory I'm not sure, but that seems to be the market interpretation with the stock bid at 12.65 after hours. Certainly a lot better for the CDZI team than if the bill had moved out of committee, although the bill is still out there.

Subject Author Exit Recommendation
Entry 01/12/2018 10:32 AM
Member xds68

The author has recommended exiting the position

Subject Re: Author Exit Recommendation
Entry 01/12/2018 10:52 AM
Member xds68

I should have formally closed this on the trade down after Gov Brown's letter (I suggested something along these lines in a message at the time but was lazy/dumb). The odds this eventually gets built are higher than at any time I can think of, a more recent lawsuit appears likely to be defeated, and the company has gotten BLM approval. As far as the MWD, MWD's board is 38 agency members, so presumably if an agreement were required to pass a vote CDZI would need 20 votes (I haven't independently confirmed this). The board members represent the various districts, and CDZI has already secured a number of district arrangements, so I don't think it's such a stretch they will eventually get there - even districts that don't care about CDZI may not want to be too rigid, as they need the ability to source water from time to time from third parties. Yes, lots of the MWD board doesn't like CDZI, but at the end of the day if some of the agencies want the water and the financing is no longer such a risk I'm not sure its enough organize a majority. This is pure speculation on my part, others may have more direct contact with MWD and may have a more nuanced view.

The project economics continue to look dicey to me. Current EV is roughly \$450 million, and with roughly \$300 in estimated build/operating cash use, you are at PF EV of over \$700 mil by launch date, and probably closer to \$800 million. Even at \$2,000 per acre foot, well above the current contract rates, that implies a multiple of 8x revenue, and likely a teens multiple on EBITDA. That said, I think the bull case will be that over time \$/acre foot can go substantially higher, based on longer term water shortages. Plus the potential for phase 2, storage, which strikes me as make believe or at best an offset in rainy years, but they'll put it out there.

There are still risks on MWD and financing, but the case is clearly weaker, and the timing uncertain. In a world where LFIN has a \$3.6 billion market cap, this no longer strikes me as especially compelling.

Subject CA bill 307
Entry 08/30/2019 11:08 AM
Member xds68

So CA passed a bill which requires CDZI to undergo a new state review of their project. From local paper (Desert Sun) w quote from bill's author:

"I was bothered at the outset when the Senate President Pro Tem (Kevin) DeLeon, refused to allow the bill out of appropriations because it appeared the project was not designed in an environmentally sustainable way," Roth said. "I think, once the science is reviewed, you can set an environmentally sustainable pumping rate for the aquifer and, if Cadiz wants to pump to that level, they can pump to that level."

The project passed a review mandated by the California Environmental Quality Act (CEQA) but, the Department of the Interior surveyors estimate the aquifer's natural recharge rate to be between 2,000 and 10,000 acre-feet of water per year, significantly less than the 50,000 acre-feet of water Cadiz proposes extracting.

So if the economics of the project were shaky before, at 1/5 of the projected capacity, they are unworkable. 10,000 acre feet of water per year, even at a premium to the current market of around \$800/acre foot, just covers current G&A of \$10-\$12 million, and that's before there's any actual operating cost, which presumably would be significant.

CDZI has put out a 'nothing to see here' press release, and announced a new venture to grow hemp.

With \$137 mil of debt, I think it's increasingly likely this is a zero, and I'm quite puzzled the stock has held up so well. Is this a ZION true believers situation?

I'm not sure on the timing on this, and this is the cat that had nine lives, but we've got to be on life number six or seven at this point. The company continues to burn cash, has \$19 mil of cash on hand (raised over last 2 years via equity issuance), has a \$70 mil march 2020 convert with a 6.75 strike and w an option to company to extend to Sep 5, 2021 (so w stock at 11 not much risk to company here). There is also \$60 million senior Apollo issued debt due 3/5/2021 that has some acceleration features at the end of this year depending on the stock price, but share price would have to fall by 50% to trigger those. Finally they have an \$18 million payment due on the closing of the pipeline they bought from the former El Paso. That was announced in 2012, and a term sheet was published at the end of 2018 - I would guess that Cadiz will not close this however.

<https://www.businesswire.com/news/home/20120229005927/en/Cadiz-Advances-Plans-Convert-300-Miles-Natural>

<https://www.sec.gov/Archives/edgar/data/727273/000072727319000004/exh10-41.htm>

So maybe they can extend this into 2021? And then Appolo has to figure out what to do with their worthless note and worthless collateral? I would think the smart thing from the company's standpoint would be to issue as much equity as possible as soon as possible.

Would be very interested to hear contrary views here - clearly someone still thinks this has value.

Here's the link to actual bill:

http://leginfo.legislature.ca.gov/faces/billNavClient.xhtml?bill_id=201920200SB307